many times when I suggested that we push Congress to cut spending on a certain program, his response was that it was hopeless—or in his words, “DOA” (“dead on arrival”)—on Capitol Hill. Stockman, in fact, was one of those pushing me to abandon my program and raise taxes a few days before Christmas 1981 when I wrote in the diary:

> The recession has worsened, throwing our earlier figures off. Now my team is pushing for a tax increase to help hold down the deficits. I’m being stubborn. I think our tax cuts will produce more revenue by stimulating the economy. I intend to wait and see some results.

During the next three years, I was under almost constant pressure to abandon the economic program. Along the way, I made some compromises: To win congressional approval of additional spending cuts and show the financial community we were serious about reducing the deficit, I made a deal with the congressional Democrats in 1982, agreeing to support a limited loophole-closing tax increase to raise more than $98.3 billion over three years in return for their agreement to cut spending by $280 billion during the same period; later the Democrats reneged on their pledge and we never got those cuts. I also agreed to a slower pace than I wanted for the military modernization program. But with these few exceptions, I was determined to stay the course and did.

Nancy sometimes calls me stubborn. Well, in this case, I *was* stubborn. I thought I was right. It was going to take time for the tax cuts to generate the kind of economic resurgence we needed to bring down interest rates, inflation, and unemployment. I believed we just had to wait it out.

On the domestic front, it was largely a tug of war on this issue that dominated my first term in the White House. I